

versions worked better than buy and hold. The best system was TMOM, with ROBUST coming in as a close second, and with a slightly lower maximum drawdown (see [Table 7.10](#)).

[Table 7.10](#) NKY Performance Across Systems (1/1971 to 12/2014)

	NKY B&H	NKY ROBUST	NKY TMOM	NKY MA
CAGR	5.06%	6.61%	6.90%	6.18%
Standard Deviation	19.15%	12.26%	12.90%	12.72%
Downside Deviation	13.77%	8.80%	9.12%	9.14%
Sharpe Ratio	0.10	0.18	0.20	0.15
Sortino Ratio (MAR = 5%)	0.13	0.25	0.28	0.20
Worst Drawdown	−80.55%	−42.98%	−43.27%	−45.29%
Worst Month Return	−23.83%	−16.73%	−16.73%	−16.73%
Best Month Return	20.07%	16.27%	16.27%	16.27%
Profitable Months	55.68%	71.40%	74.24%	73.86%

DAX – German Stocks

The German stock market has also had a tough run relative to the S&P 500, but it has performed better than the Japanese market. Based on risk-adjusted statistics, it is hard to ascertain a strong benefit to the ROBUST, MOM, or MA timing systems. TMOM has the strongest showing across Sharpe and Sortino ratios, but the Sharpe and Sortino ratios for a buy-and-hold strategy are not far behind. However, the risk-management systems shine when it comes to drawdown protection. The timing models cut the drawdown in half. ROBUST is the most favorable and takes the drawdown from over 68 percent to just over 32 percent—still painful, but not life-threatening (see [Table 7.11](#)).